



GRANULES

Granules India Limited

Unlocking potential Unleashing value

Corporate Presentation





Safe harbor

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Agenda

- 1 Our Company**
- 2 Levers for Growth**
- 3 Innovative Manufacturing for Scale**
- 4 Robust Financials; goals**
- 5 Key Focus areas for FY21**



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Granules at a glance



Building Blocks

Large scale of operations
Operational efficiencies
Long-term customer relationships
Regulatory compliant facilities



Installed Capacity

39,360 TPA of API
24,640 TPA of PFI
23.5 Bn dosages of FD



Regulatory Approvals

USFDA, EDQM, EU
GMP, COFEPRIS, WHO
GMP, TGA, KFDA, DEA,
MCC, HALAL



Business Divisions

Core business
US generics
Multi API and Onco



Global Reach

60+ countries
250+ customers

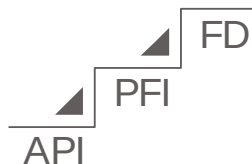


Revenue Mix

84% of revenues are exports
73% of revenues from regulated markets of US, Europe and Canada
LATAM contributes nearly 8% of revenues



Business Verticals



Vertically integrated across value chain



People Strength

3,029 people as on 31 March 2020 in GIL



Intangible Assets

45 ANDA filings; 32 approved
20 US & 7 European DMFs
16 CEPs with EDQM
10 other country's DMFs



Manufacturing Base

7 operational manufacturing facilities; 6 in India, 1 in US
One of the world's largest paracetamol API facilities
World's largest PFI facility
One of the largest single-site FD facilities



What makes Granules unique?

01

Sustainable base of first line of defense products; limited competition with respect to integration- presence across both Rx and OTC

02

Presence across the value chain: APIs, PFIs and FDs which increases security of supply and builds in efficiencies

03

Strong regulatory history; Quality and regulatory compliance built into our DNA

04

Focus on R&D: A combination of high volume molecules and complex products putting together "Unique portfolio"

05

Engineering R&D solutions for large scale manufacturing by making existing APIs more process efficient and filing new DMFs for small, medium and large volume APIs.

06

Leveraging economics of scale by expanding capacities with agility and process innovation in manufacturing across the value chain





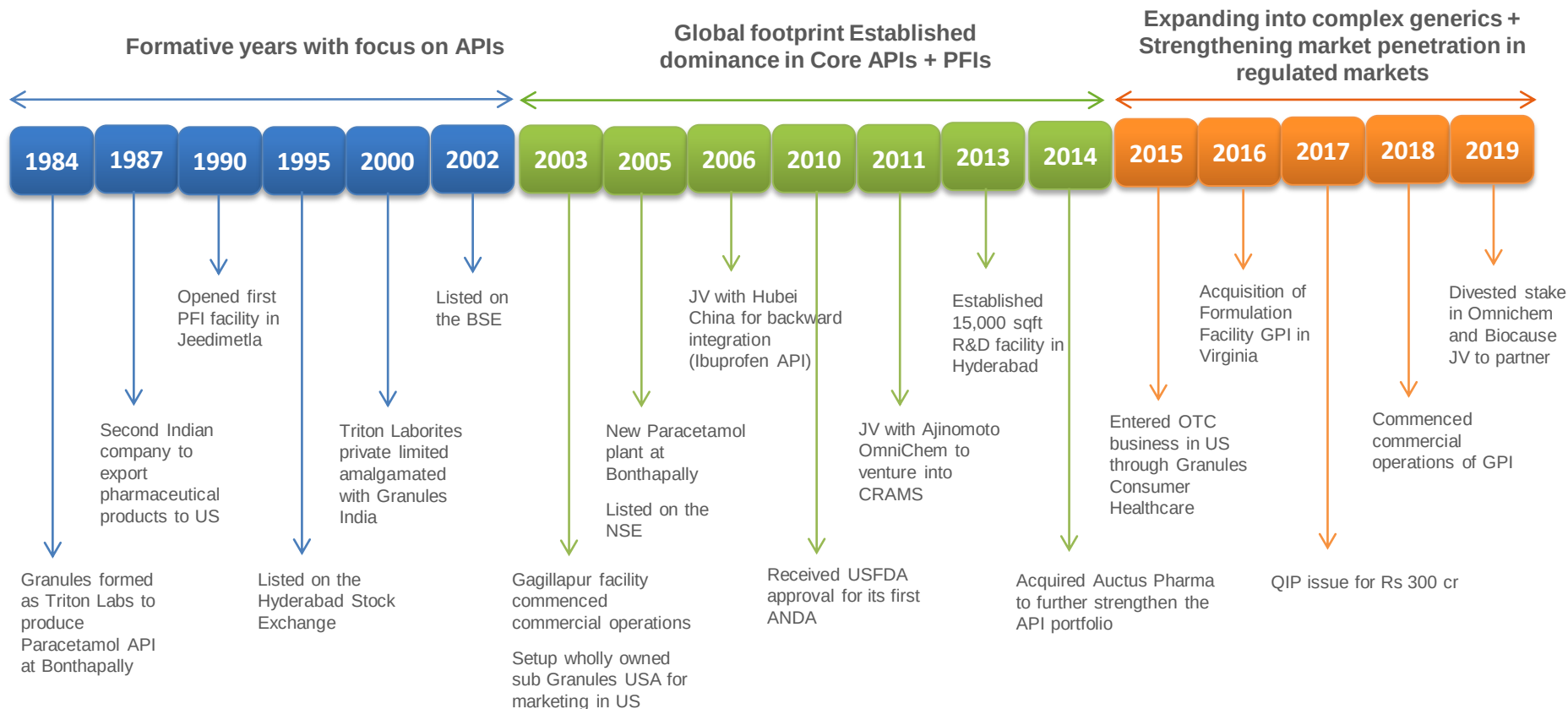
Our Vision

To be the global leader in pharmaceutical manufacturing by process innovation and unparalleled efficiencies





Our Evolution





A vertically-integrated, fast-growing pharmaceutical company

APIs

Inhouse Active Pharmaceutical Ingredients (**API**) manufacturing with focus on efficiently creating high-quality APIs in key therapeutic categories

PFIs

World's largest Pre-formulation Ingredients (PFI) facility at Gagillapur. PFIs taken from drums to hopper and compressed into tablets directly

FDs

Multiple Finished Dosage (FDs) forms comprising tablets, caplets and press-fit capsules in bulk, blister packs and bottles

Marketing & Distribution

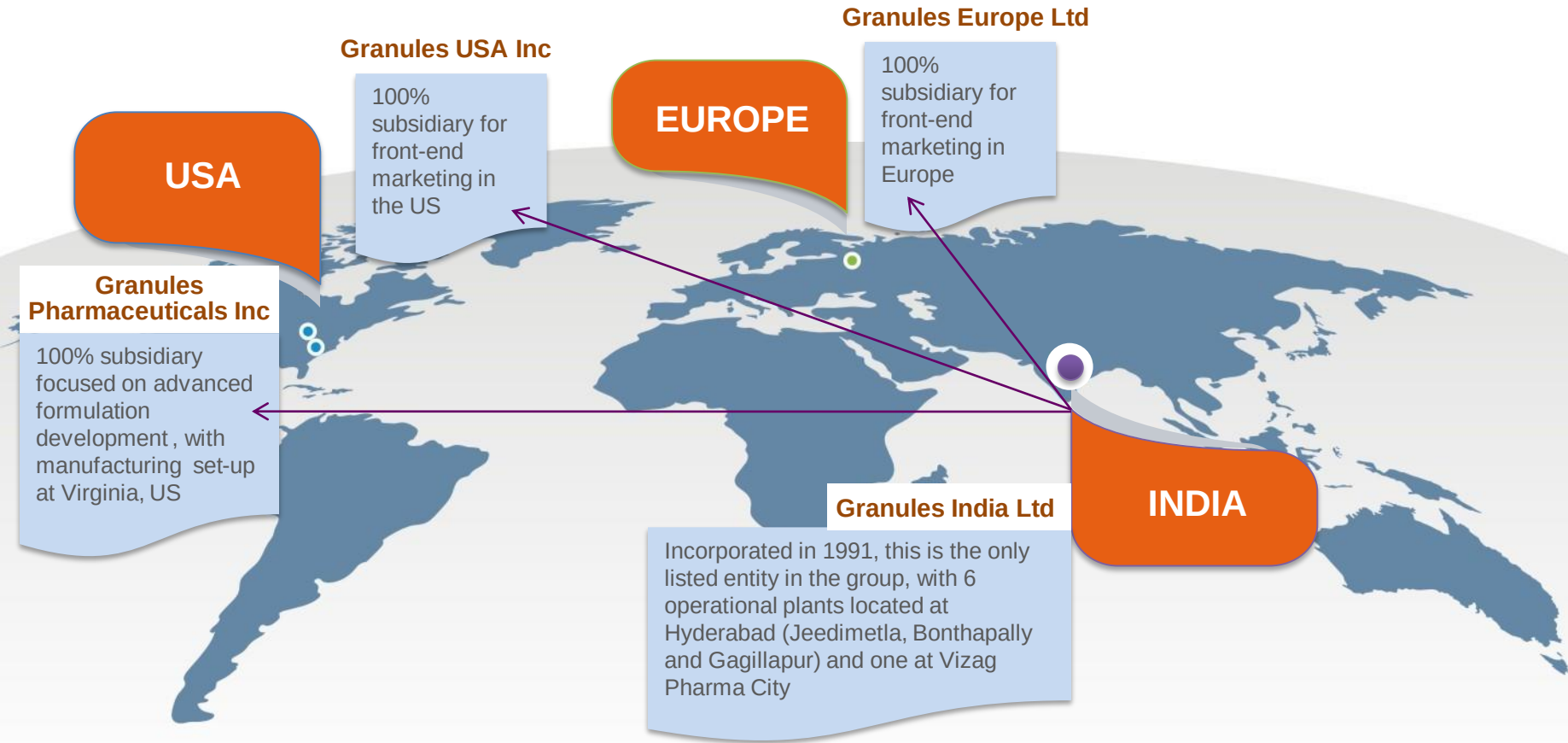
B2B: Granules USA (GUSA) work with strategic partners who sell the finished dosages to end customers

B2C: Granules Consumer Health and Granules Pharmaceuticals Inc; **our front end Sales, Marketing and Distribution** divisions in US for OTC & Rx products respectively





Our Global footprint; with presence over 60 countries





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- 5 Key Focus areas for FY21



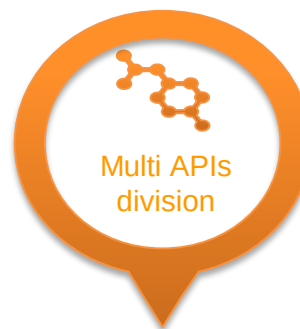
Multiple Growth drivers provide visibility for long-term growth



- ✓ Focus on volume based products such as **Paracetamol, Metformin HCl, Ibuprofen, Guaifenesin, Methocarbamol** and newly added **Losartan, Cetrizine and Fexofenadine**
- ✓ **Expanding base business by entering into new geographies (Europe, Canada, South Africa)**
- ✓ **Large scale manufacturing with sustained competitive advantage** & secured supply source for the customers
- ✓ **Pioneered the concept of commercializing PFIs** — suits large volume drugs



- ✓ **Fully integrated infrastructure** including R&D, manufacturing and marketing to enable “Make in America”
- ✓ **Business-to-Consumer model (B2C)**
- ✓ Focus on developing **controlled substances and niche/differentiated modified and extended-release** products in varied dosage forms



- ✓ Auxiliary growth engine
- ✓ **Multi-product and multi-stage API to FD manufacturing site**
- ✓ **Fully integrated facility to offer APIs and FDs in onco therapeutics**, a top growth segment



- ✓ **Filing new ANDAs (7 -8 ANDAs per year; 2-4 dossiers per year and value added DMFs/CEPs/EDMFs)**
- Focus on developing controlled substances and niche/differentiated modified and extended-release products in varied dosage forms
- ✓ **Average launches 7-8 ANDAs/Dossiers per year**
- ✓ Focus on operational efficiencies and process innovation through R&D



Core Business - API

An Overview

- ✓ Presence across the entire pharmaceutical manufacturing value chain from API to finished dosages
- ✓ Large-scale manufacturing enables not only to sustain competitive advantage but also build operational efficiencies into the system.
- ✓ Focus on first line of defence portfolio products such as Paracetamol, Metformin HCl, Ibuprofen, Losartan Guaifenesin, Methocarbamol, Cetrizine, and Fexofenadine
- ✓ Pioneered the concept of commercializing PFIs which is for large volume molecules
- ✓ 6 US FDA-approved plants located in Hyderabad (Jeedimetla, Bonthapally, Gagillapur) and Vizag

Growth Drivers

1

Expanded to 8 molecules: Losartan, Fexofenadine and Cetrizine added to the existing core portfolio in Q2FY20

2

Expanded capacities in (API + FD) high volume products (paracetamol, metformin, ibuprofen, guaifenesin, methocarbamol)

3

Ramp up of utilization at the new capacities to expand global market shares in these APIs and integrated from API to FD

4

Widening existing portfolio into several dosage forms

E.g. Paracetamol 500, Paracetamol 650, Metformin XR

5

Expanding market to other regions by extending our filings footprints in UK and Europe for core molecules



Economies of scale driving profitability

Empowering business sustainability through.....

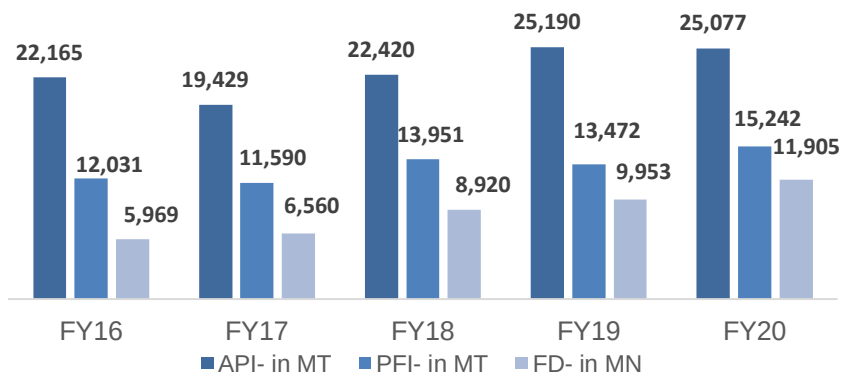
Progressively invested
in expanding
capacities

Leverage economies of
scale

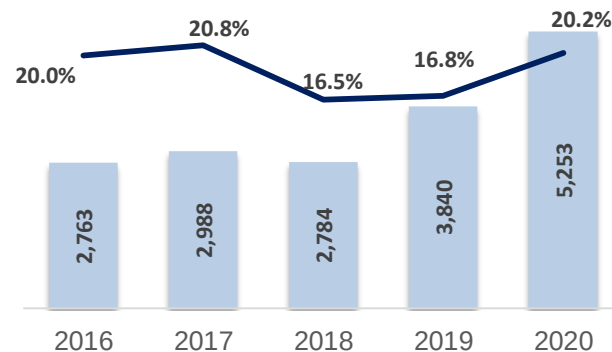
Volume play results in
higher batch sizes,
lower batch to batch
variability

On time supply,
reduction in resting
costs and quality
assurance

Production Capability – MT/Mn



EBITDA EBITDA (%)





US Generics: Granules Pharmaceuticals Inc.

- ✓ Fully integrated infrastructure from R&D, manufacturing to sales and marketing enabling “Make in America” (TAA compliance for Govt. business)
- ✓ Balanced product portfolio, combination of internal capabilities and market dynamics.
- ✓ Strategic portfolio selection focusing on limited competition products across oral solids; tablets, capsules, oral solids and powder for oral solutions
- ✓ US FDA approved facility in Virginia with a team strength of 90+.
- ✓ 100,000 sq ft facility with established R&D and Manufacturing capabilities with all necessary approvals for development and manufacturing of controlled substances.
- ✓ Business to Consumer — front end sales and marketing for Rx & OTC products

1

Gained traction with a first to generic product; Methergine in June 2018. Set up a front ends sales and marketing division and launched 5 products under the GPI label. “Control your own destiny”

2

24 Rx ANDAs filed and 16 ANDAs approved currently. 8 products to be approved. 11 products under development between GPI and GIL (Rx)

3

Expects 8-9 launches in FY21 with an addressable market size of about \$1.3 Bn based on IQVIA (brand and generic)

4

Near to medium -term opportunities (within the next 2-3 quarters) include 7 ANDA approvals for immediate release products with limited API sources, modified-release oral solids, controlled substance modified release products, oral solutions and powders

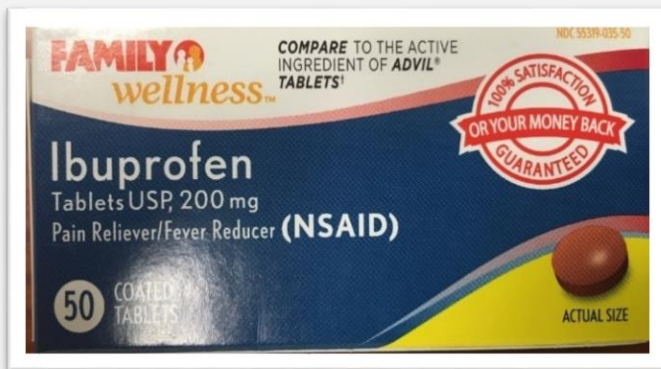
5

80% of our GPI products have less than or below three to four players as of date.



US Generics: Granules USA (GUSA)

- ❑ B2B: Marketing & Distribution arm for API's, PFIs and FDs (Rx & OTC) from GIL with a top-line of 47 \$Mn in FY20
- ❑ B2C: Granules Consumer Health; our front end division for private label OTC products
- ❑ Incorporated in 2003 to set up a sales and marketing arm for real time communication with customers
- ❑ Set up to market APIs & PFIs to some of the largest OTC and Rx customers in the US; branded and non branded
- ❑ First FD launched in 2010 to market our first ANDA through a partner in US
- ❑ GCH - our front end division for private label OTC products incorporated in 2014
- ❑ Supply over 100 SKUs to both B2B and private and home label customers. Supplying to both is a part of our risk mitigation strategy which enables us to focus on our manufacturing capabilities while taking advantage of the partner's distribution capabilities (B2B)
- ❑ 9 OTC ANDA products approved. 2 products have been filed and 5 products are in pipeline





Multi APIs/Oncology

- ❑ Two Multi-product and multi-stage API-to-FD manufacturing facilities in Vizag

- ❑ Facility 1: Directly relates to our core business with ~15 APIs, fully commercialized and profitable



- ❑ Facility 2: With special focus on Onco, fully integrated facility to offer a) APIs and FDs in onco therapeutics, a top growth segment and b) Development of new APIs.



1

Multi-product API manufacturing facility and also, an integrated API-to-FD facility for oncology

2

Infrastructure: IT-enabled infrastructure to ensure efficiency and compliance

3

Customer Centricity: Supplying to domestic and international markets with own and customer products

4

Regulatory Record: Products are under stability testing and expect faster site approval once filed

5

Portfolio: Robust product pipeline for other limited-competition APIs.



Improving Financial Health

(₹ Mn)

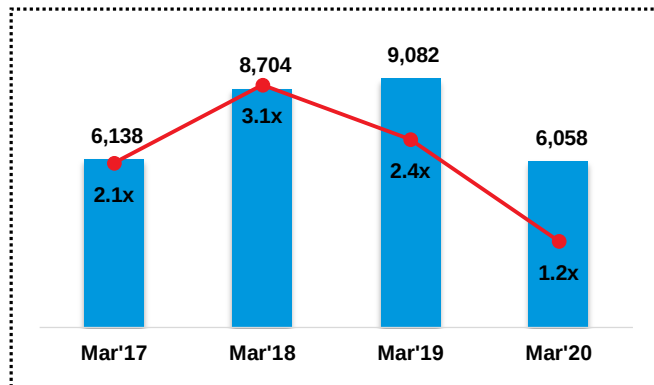
1 Focus on reduction of debt, target 1x net debt to EBITDA by FY22

2 ROCE target of 20%+, Free cash flow generation

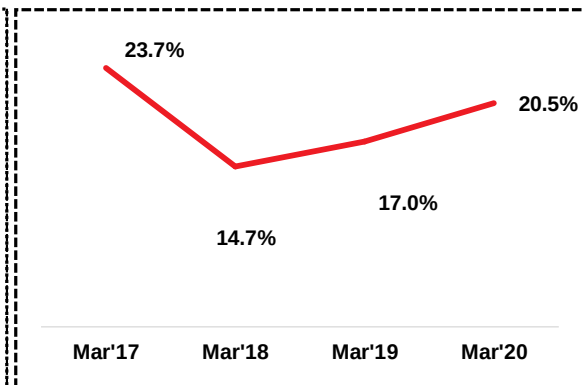
3 ~1% EBITDA margin improvement every year

4 Pledged shares, taken for Capex funding, to become zero

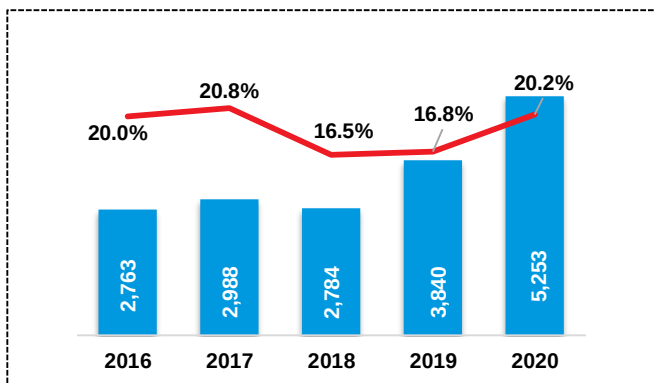
Net Debt & Net debt-to-EBITDA (x)



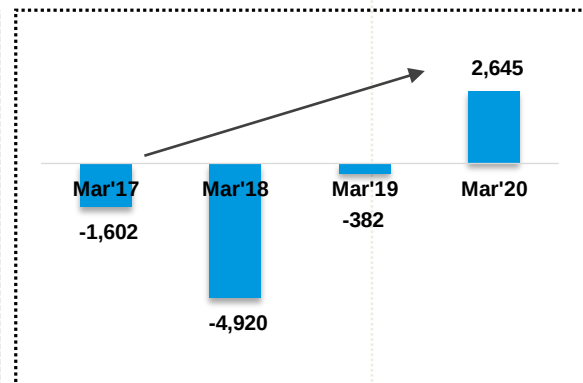
ROCE (%)



EBITDA & EBITDA Margin %



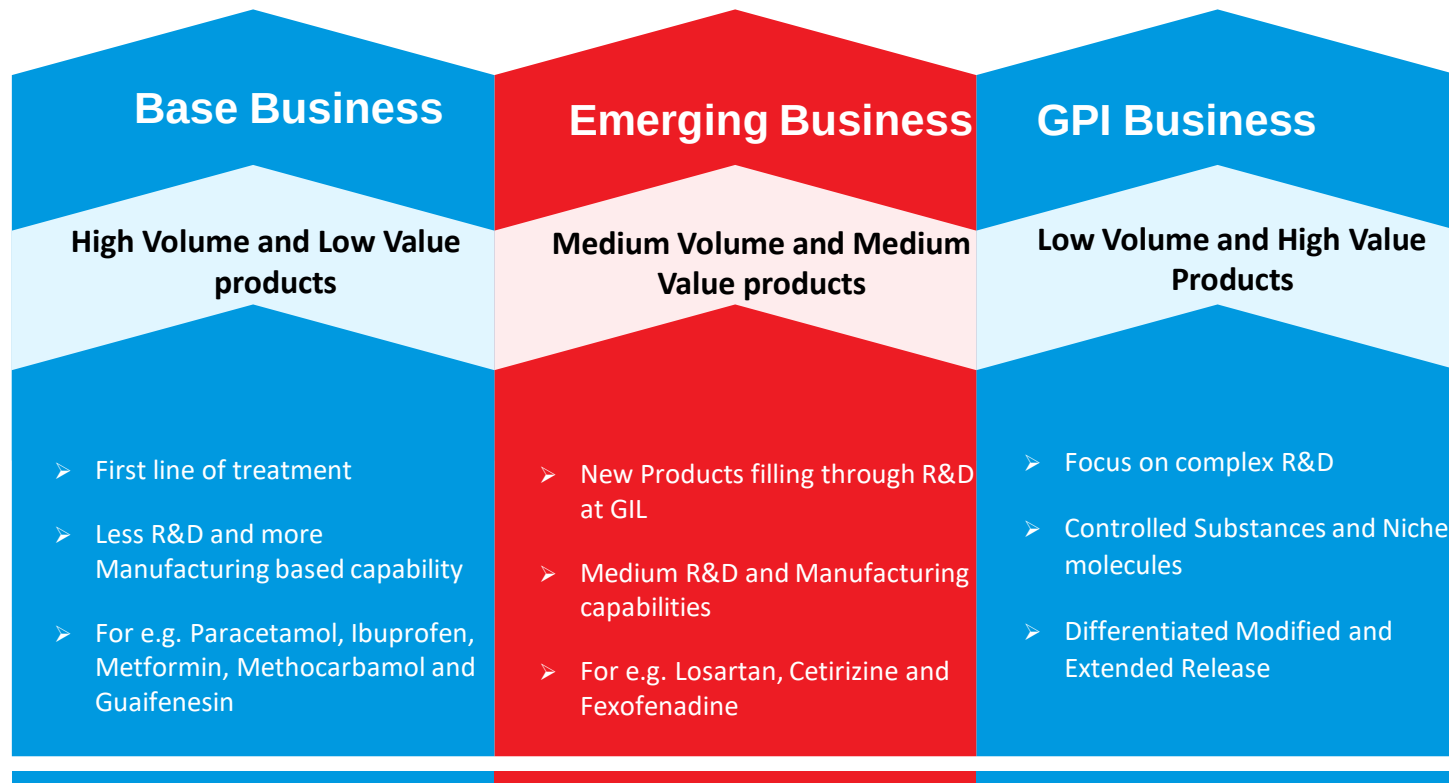
FCF



Promoter pledge is reduced significantly by 12.95% of the total equity share pledge on GIL. Post this event, 3.64% of the total shareholder's equity is still currently pledged



Evolving Business Strategy for R&D



**~70% of the R&D spend will go towards Base and Emerging Business
and ~30% will go towards products developed at GPI**



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Strong Regulatory Compliance history



Value chain	Facility location	Installed capacity	Approvals	Inspection Date	Outcome
API	Bonthapally	34,560 TPA	U.S. FDA, EDQM, WHO, COFEPRIS, INFARMED	July-19	Clear
	Jeedimetla	4,800 TPA	U.S. FDA, EDQM, COFEPRIS, WHO, CDCSO	March-18	Clear
	Vizag (Unit IV)	290 KL	U.S. FDA, KFDA, EU GMP, WHO GMP, EDQM	Dec-15	Clear
	Vizag (Unit V)		EU GMP	April-20	Clear
PFI	Gagillapur	23,200 TPA	US FDA, COFEPRIS, TGA, MCC, INFARMED	Feb-20	Clear
	Jeedimetla	1,440 TPA	WHO GMP, COFEPRIS, INFARMED	March-18	Clear
FD	Gagillapur	21.8 Bn	US FDA, MCC, COFEPRIS, TGA, INFARMED	Feb-20	Clear
	Virginia, USA	1.5 Bn	US FDA, DEA	August-19	Clear
API Intermediates	Bonthapally	61.5 KL			



API Manufacturing Capabilities build over a period of time



Highlights of Finished dosages capabilities





Manufacturing excellence driven by innovation and state of the art facilities

- ✓ Offering end-to-end product development solutions and unique analytical methods on massive infrastructure, ensuring product consistency and quality
- ✓ R&D equipment, which are geometrically scaled down for trouble-free scale-up of commercialization, as per the 10x principle
- ✓ Dossier development in CTD / e-CTD formats, suitable for global submissions of PFIs and Finished Dosage products
- ✓ Ability to manufacture rapid release gel cap and bilayer tablets
- ✓ Steady movement towards complete expensing of R&D spend





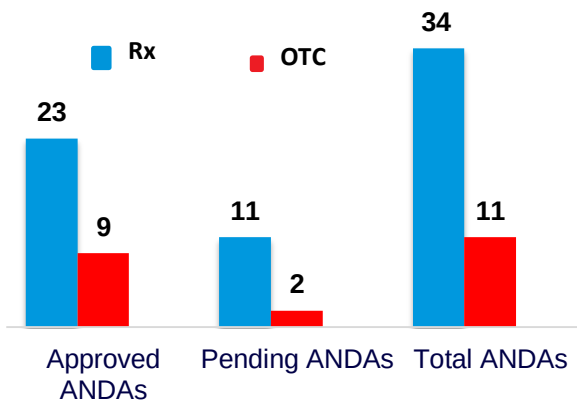
With our continued commitment towards R&D

We invest in R&D to develop products that create intellectual wealth and commercialize cost-effective, quality products in diversified therapeutic areas

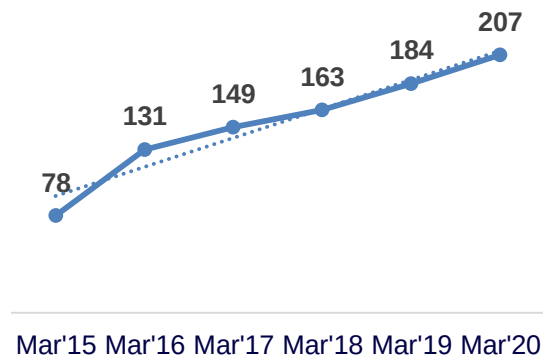
Patent Highlights

Country	No of Patents
India	47
PCT	12
United States	4
Europe	1
Egypt	1
Canada	1
TOTAL	66

ANDA Portfolio



No. of R&D employees - GIL



- ✓ 45 ANDAs in total - 11 OTC and 34 Rx
- ✓ 2 ANDAs pending approval for OTC and 13 ANDAs pending approval for Rx. Total 13 to be approved
- ✓ 12-15 ANDAs to be filed within the next year and a half

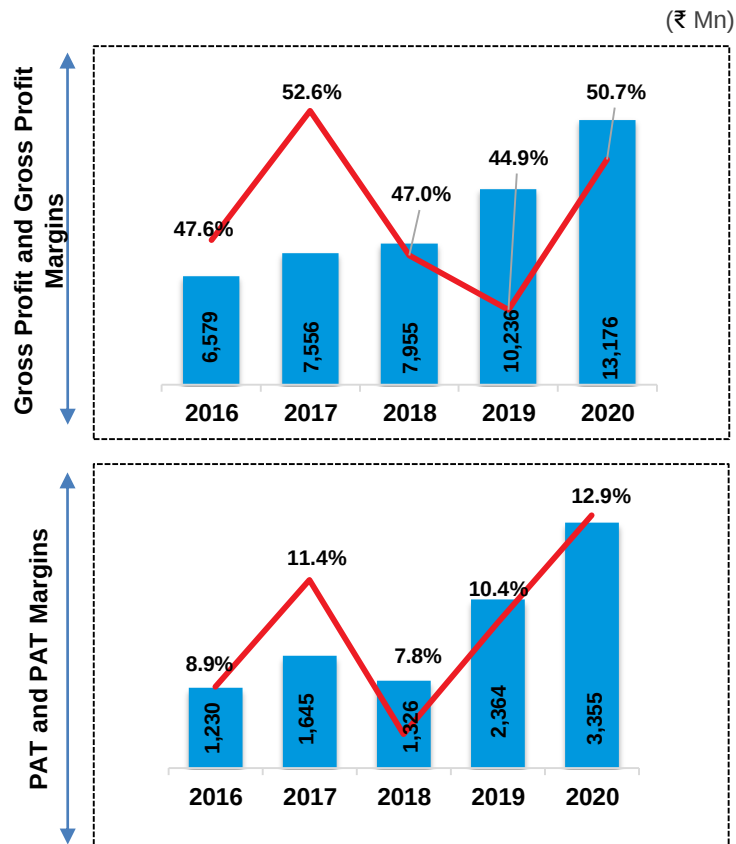
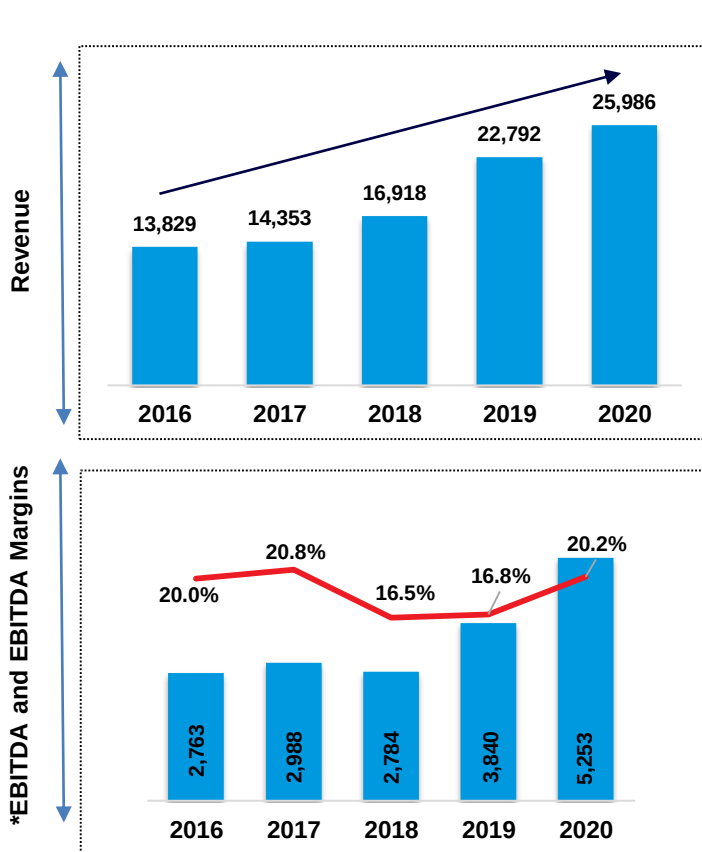


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Building on solid base; unlocking value underway: 5 year trajectory



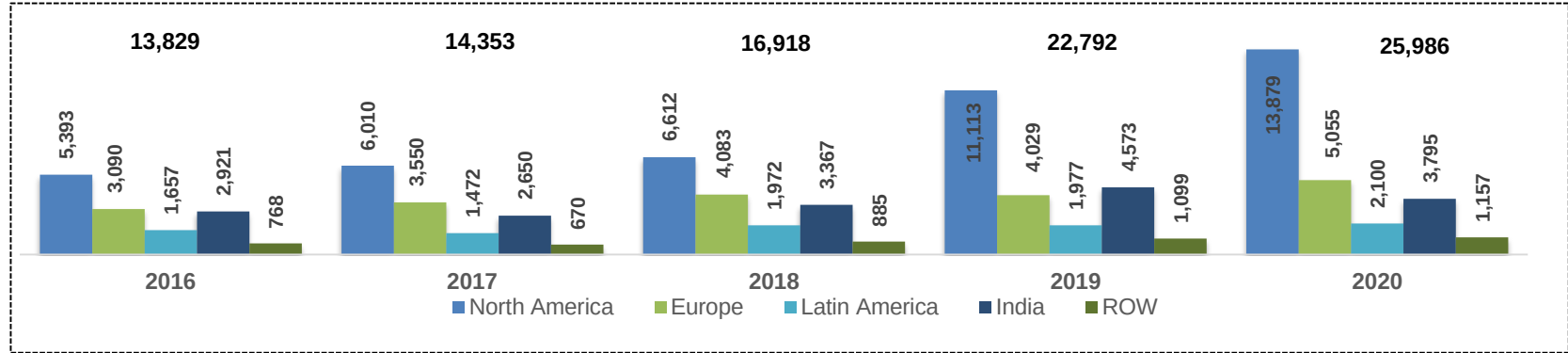
Note:- *FY20 EBITDA includes one time expense of INR 217 Mn for impairment of investment in the US



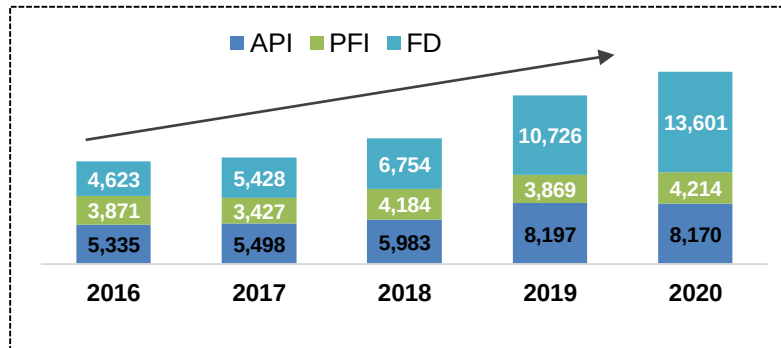
Increasing contribution from FDs while remaining backward integrated in APIs : 5 years trajectory

Higher revenue contribution coming from regulated market, which contributed 73% to total revenue

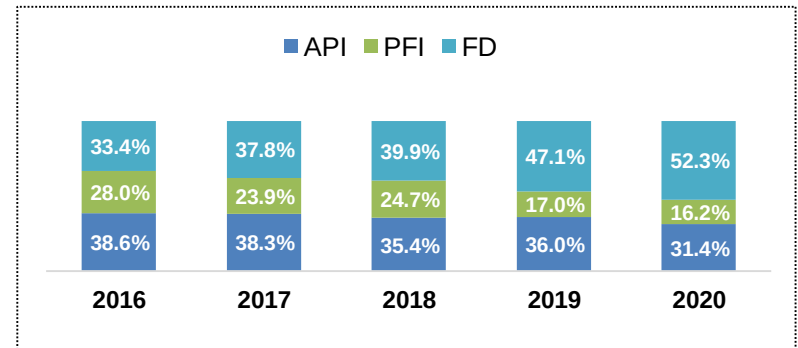
(₹ Mn)



Finish Dosage: 5Y CAGR 35%



Revenue contribution increased in FDs to 52% from 32% in last 5yrs

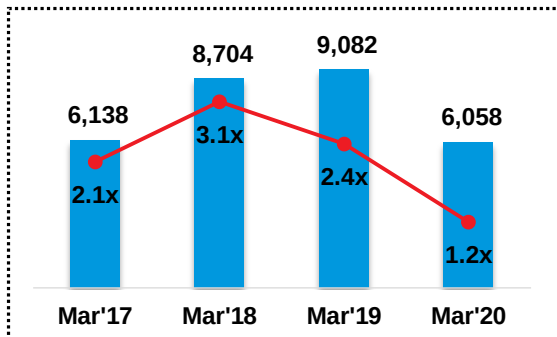


Note: Nos excluding multi API/ oncology business segment

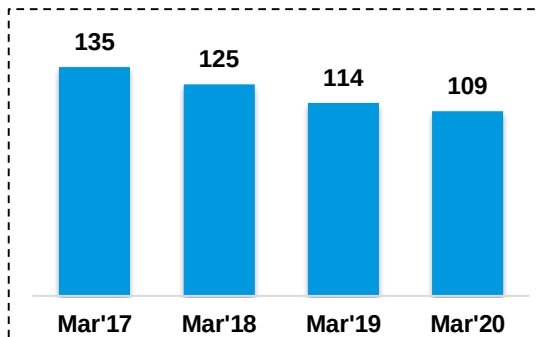


Improving returns; focus on FCF generation: 5 year trajectory

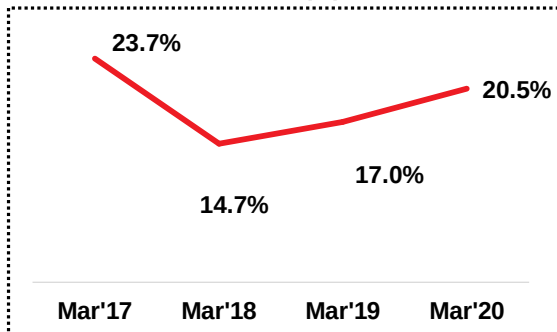
Net Debt & Net debt-to-EBITDA (x)



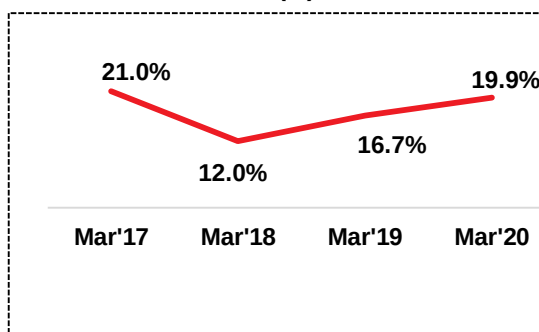
Cash-to-Cash cycle (days)



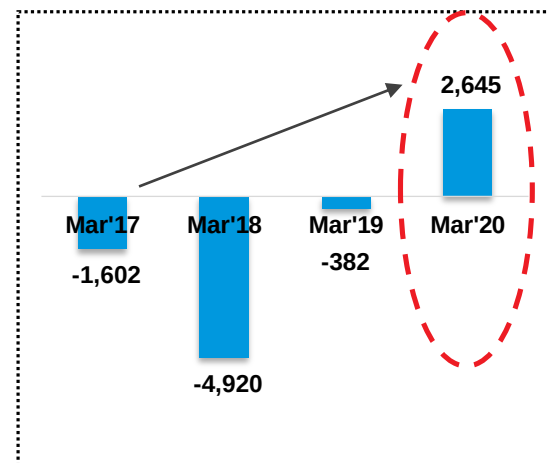
ROCE (%)



ROE (%)



Free Cash Flow (FCF)



Note: 1. Nos excluding multi API/ oncology business segment

2. JV income is not incl. in Mar'19 and Mar'20

3. ROCE = [EBIT/Avg. Capital Employed (Total assets-current liabilities)]

4. FCF= Operating cash flow- Capex

5. Cash conversion cycle (CCC)= Days inventory outstanding (DIO) + Days sales outstanding(DSO) - Days payable outstanding(DPO)



Leadership Team



C Krishna Prasad

Chairman and Managing Director

Mr Prasad's journey as pharma entrepreneur began in 1984, when he set up a paracetamol API manufacturing facility that focused on capital and process efficiency. Pharmaceutical formulations intermediates (PFIs) as a cost efficient product for global formulations manufacturer is a concept pioneered and popularized by Mr Prasad



Uma Devi Chigurupati

Executive Director

Experienced over 30 years in various fields, Ms Uma cofounded with Mr Prasad Triton Laboratories in 1984, which was later amalgamated with Granules. Currently, she heads Granule's CSR activities and HR initiatives



Priyanka Chirugupati

Executive Director , GPI

Responsible for the US Generics business including commercial and strategic initiatives. Ms Chigurupati's numerous roles in her 6 years at Granules' divisions in the US and India include the Core Business, Emerging Business and Consumer Health



Harsha Chigurupati

Executive Director

Responsible for Manufacturing Operations of Granules India Limited (standalone division) and marketing of regions other than United States. He will drive business performance through operationalising Company strategy into business plan, conducting periodic operations reviews and driving corrective - preventive measures to bridge gap or enhance performance



Sandip Neogi

Chief Financial Officer

Chartered Accountant and Cost Accountant with post qualification experience of 28 years. Worked in areas of Strategic Financial Planning and Analysis, Business Valuations, Risk Management, SEC Environment, Mergers & Acquisitions, Treasury, US and Indian GAAP Accounting and Internal Controls



GSR Prasad

Chief Operating Officer

Responsible for all the manufacturing operations of GIL. He will continue to lead Projects related responsibilities too. He is a Masters in Pharmacy and with more than 30 years of rich experience in Manufacturing, Engineering, SCM and Projects. Earlier, he worked with various pharmaceutical companies like Astra Zeneca, Themis, Sangroid Granules, Pharmeng, Biovail, and Novast Laboratories in India, US, Canada and China



Atul Dhavle

Chief Human Resources Officer

In his over 26 years with reputed organizations such as Mahindra & Mahindra, DuPont, Welspun and Dr Reddy's. Mr Dhavle has handled various responsibilities in human resources and operational excellence. He is a graduate in production engineering from Nagpur University and has a postgraduate certificate in business management from XLRI



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Key Focus areas for FY21

1

To ensure timely launches of 9 products expected in FY21 while also increasing the market share of existing products by passing on cost benefits realized through operational efficiencies

2

To ensure employee safety while increasing productivity and improve regulatory compliance

3

To focus on Cash conservation and liquidity management
To focus on Free cash flow generation and ensure reduction in gross debt

4

To focus on Working capital management with high focus on inventory management to ensure supply security

5

To focus on profitability through better capacity utilization and by enhancing product mix and operational cost efficiencies

6

Continue to rationalize the R&D portfolio centered around sustainability and to ensure timely progress of the completion of new MUPS block construction in Gagillapur and other expansion activities



GRANULES

Thank you

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